Casa de Bolsa Interacciones

PREVIEW

Food

BIMBO A MM

Price
(MXN, as of 07/04/2017)
MXN$47.02

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.873

MARKET CAP. (MXN MN)
219,545

DL VL TRADED (AV. MXN MN)
104.5

TARGET PRICE
P$44 / Var. TP -6.4%

HOLD

*TP under review

Equity Research
analisis_bursatil@interacciones.com
(55) 5326 - 8600

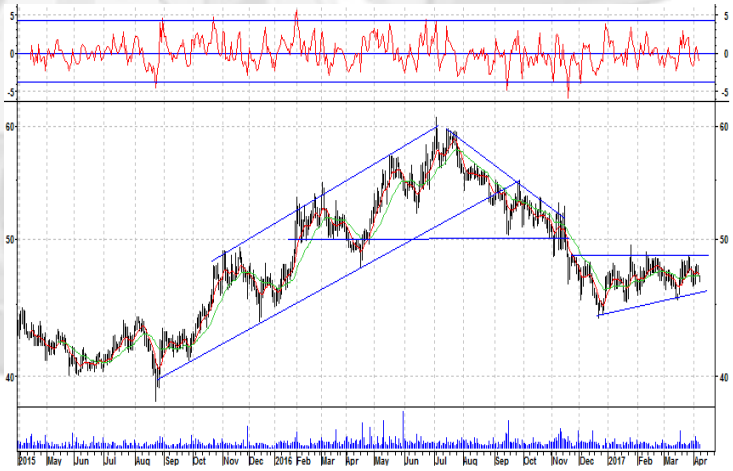
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Q117 Estimates

We expect BIMBO to report positive Q117 results with double-digit increases in the main indicators supported by the FX benefit on the North American operation and a strong organic growth in Mexico. We believe that these results should support the stock price in the near term.

Outstanding revenue growth due to the FX benefit – We expect a 16.1% YoY sales increase to MXN$65.76 billion, due to the exchange rate benefit in the North American operations, whose revenues will likely rise 13.0% YoY. In addition, we forecast a 10% YoY sales increase in Mexico, +11.2% YoY in Latin America and +90.0% YoY in Europe.

Higher gross margin – We project that the gross margin will improve 90 bps to 54.4% due to lower raw material costs which will boost the profitability of the North American operations, thus offsetting the FX impact on Mexico.



Lower EBITDA margin – The EBITDA margin will contract -53 bp, to 9.6%, due to the integration of Donuts Iberia and the opening of the Cordoba plant in Argentina. This will lead to a 10.0% YoY EBITDA growth to MXN$6.33 billion

Significant bottom line increase – We expect a 51.2% YoY increase in net income to MXN$2.07 billion as a result of the favorable operating results in conjunction with FX gains, thus reversing the FX loss of the same period last year.

Multiples	2014	2015	2016	2017E
P/E	51.3x	41.8x	37.5x	16.3x
P/BV	3.8x	3.6x	3.1x	1.6x
EV/EBITDA	15.3x	11.9x	10.0x	7.7x

Source: Interacciones Research and the company

	Q117e	Q116	Dif (%)
Sales	65,765	56,638	16.1%
Operating Income	4,891	3,879	26.1%
EBITDA	6,327	5,750	10.0%
Net Income	2,075	1,372	51.2%

	1T17e	1T16	Dif (bp)
Operating Mgn. (%)	7.4%	6.8%	59
EBITDA Mgn. (%)	9.6%	10.2%	-53
Profit Mgn. (%)	3.2%	2.4%	73

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

INTERACCIONES RESEARCH

Strategy / Managing Director, Research

Juan F. Rich Rena	jfrichr@interacciones.com	(55) 5326-8600 x8444
Montserrat Araujo Nagore	maraujon@interacciones.com	(55) 5326-8600 x8589

Technical Analyst

Agustín Becerril	abecerril@interacciones.com	(55) 5326-8600 x6108

Construction / Airports / Materials

Andrés Audiffred	aaudiffreda@interacciones.com	(55) 5326-8600 x8393
Cecilia Capetillo Licona	ncapetillol@interacciones.com	(55) 5326-8600 x7284

Telecommunications / Consumer Goods

Martin Lara	mlarap@interacciones.com	(55) 5326-8600 x8587

Industrials

Armelia Reyes Morelos	areyesm@interacciones.com	(55) 5326-8600 x7284

Financials

Martín Hernández	mhernandezo@interacciones.com	(55) 5326-8600 x7284

Economics and Fixed Income

Carlos Fritsch		(55) 5326-8600 x7218
Mauricio Tavera		(55) 5326-8600 x7218
Luis David García Rendón		(55) 5326-8600 x7218

Database & systems support

Carlos Briseño		(55) 5326-8600 x8386

Institutional Sales

Managing Director of Institutional Sales

Guillermo Zevada	gzevadap@interacciones.com	(55) 5326-8748
Jorge Lagunes	jilagunas@interacciones.com	(55) 5326-8795
Lawrence Eden	leden@interacciones.com	(55) 5326-8633
Diego Barroso	dbarrosor@interacciones.com	(55) 5326-8723
José Hudson Moreno	jhudson@interacciones.com	(55) 5326-8625

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BIMBO A: Historic Target Price(s) & Recommendation(s)			
Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*